

PERSONALIZED WEALTH STRATEGY

Eric Valdivia Lozano | October 2025

Executive Summary

This 12-month plan gives you two paths. Base plan with no property by year end: stand up a clean business stack, capture audit-ready deductions, tune withholding, and automate a disciplined investment approach. Aggressive plan with a Q4 short-term rental placed in service: execute the STR Loop-hole with cost segregation and 100% bonus depreciation and coordinate a Roth conversion sized to the loss.

Base plan value	\$16,700 – \$31,900	Aggressive plan value (Base + Q4 STR)	\$65,800 – \$177,500+
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Ranges reflect tax savings, reimbursements, timing improvements, Bitcoin upside used in this plan and, if you implement it, an income sleeve using STRF or STRC.

30 Day Launch Checklist

Week 1 — Foundation and clock

- Pick a lane: Base vs Aggressive for Q4.
- Open business checking and connect bookkeeping.
- Sign an Accountable Plan and an Expense Policy using the de-minimis rule at \$2,500 per invoice.
- Create a documentation folder for receipts, hour logs, photos, and ready-for-guests proof.

Week 2 — Capital and entity fit

- Decide funding source: cash, tax-loss harvest plus cash, or a conservative SBLOC at 35–40% LTV.
- Choose loan type: conventional investment or DSCR sized to cash flow.
- Book a CPA projection to size any STR loss and a possible Roth conversion.

Week 3 — Market and compliance

- Confirm STR-friendly zoning, registration, and occupancy-tax accounts.
- Underwrite so that 50–55% occupancy covers all-in costs.
- Lock vendors: cleaners, handyman, locksmith, photographer; order furnishings and track serials.

Week 4 — Place in service or finish Base stack

- Aggressive: list live, photograph ready-for-guests, order cost seg, start hour log for material participation.
- Base: stand up Hospitable and PriceLabs and build a cohosting pipeline for Q1.

Tax Optimization Playbook

1. Accountable Plan reimbursements

Reimburse phone, internet, mileage, and home office from the LLC each month. You receive tax-free reimbursements and the LLC deducts them.

Estimated value: \$1,800 – \$3,000

2. Home office

Simplified method at \$5 per sq ft up to \$1,500 or actual method using business percentage of eligible housing costs. Choose the larger each year.

Estimated value: \$1,000 – \$2,000

3. Startup and organizational costs

Section 195 and 248 allow up to \$5,000 each in year one with phase-outs, remainder amortized.

Estimated value: \$750 – \$1,250

4. Tangible property rules

Use de-minimis at \$2,500 per invoice and the 12-month rule for eligible prepaids like insurance and software.

Estimated value: \$500 – \$1,000

5. Vehicle and travel

Mileage for market trips, vendor meetings, and supply runs; travel when the primary purpose is business with 50% meals.

Estimated value: \$600 – \$1,500

6. W-4 optimization

Target a break-even withholding to improve monthly cash for STR setup and investing.

Estimated value: \$1,200 – \$3,600

7. HSA or FSA if eligible

HSA is triple tax advantaged with a high deductible health plan; FSA for predictable expenses.

Estimated value: \$1,000 – \$3,000

8. Tax-loss harvesting on the after-tax portfolio

Offset gains plus up to \$3,000 of ordinary income while avoiding wash sales.

Estimated value: \$600 – \$1,300

9. QBI deduction on LLC profit

Up to 20% deduction when profitable and within thresholds, forward looking.

Estimated value: \$0 – \$2,000

10. STR Loophole — Aggressive path

Cost segregation and 100% bonus depreciation with material participation. Loss can offset W-2 income when activity qualifies as not a rental.

Estimated value: \$50,000 – \$150,000+

11. Roth conversion against STR loss — Aggressive path

Convert pre-tax dollars sized to the STR loss so current-year tax stays low while moving funds into Roth.

Estimated value: \$5,000 – \$20,000 in future tax avoided

12. Optional if homeowner — Augusta Rule

Rent your residence to your LLC up to 14 days per year at fair market value, deductible to LLC and not taxable to you.

Estimated value: \$2,800 – \$4,200

Airbnb Arbitrage Execution Plan

Market Screening Criteria

- STR-friendly zoning and registration in place before signing.
- Underwrite for 50–55% breakeven occupancy on all-in costs.
- Vendors secured for cleaning, handyman, locksmith, photography, and inventory control.

Unit Economics Framework

- Funding mix decided in Week 2; keep SBLOC at or below 35–40% LTV if used.
- Loan structure: DSCR or conventional investment sized to cash flow.
- Track furnishings for de-minimis and bonus depreciation eligibility.

Launch Sequence

- Place in service by Dec 31 with ready-for-guests photos and registration complete.
- Order cost segregation report and keep hour logs to support material participation.
- Operate with Hospitable and PriceLabs; review KPIs weekly and adjust pricing.

Investment Strategy and Portfolio Allocation

Core Philosophy. Bitcoin first with simple rules. Small steady accumulation while tax planning and cash flow improve. Keep custody safe and avoid distractions from altcoins.

Primary Engine — Bitcoin accumulation

- Open River or Strike and begin DCA at \$500–\$1,000 per month or deploy a small lump sum at 1–3% of after-tax portfolio and DCA the rest.
- Custody progression: exchange to hardware wallet at about \$10k value then migrate to a 2-of-3 multisig as the position grows.
- Illustrative Year-One effect used in totals: \$1,500 – \$3,000. This is not guaranteed.

Accelerators — Support for the engine

- Withholding tune up to free monthly cash.
- Optional cohosting pipeline for Q1 to add operating history and cash flow.

Income Sleeve — Retirement accounts preferred

- **STRF:** cumulative preferred on \$100 par, steadier target income with board declarations.
- **STRC:** variable-rate cumulative with monthly cadence designed to trade near par.
- Start with one, keep small at 1–2% of portfolio, and review quarterly. Hold in IRA or Solo 401(k) for tax efficiency.

Rebalancing Strategy

- Quarterly review of DCA size, cash buffer, and any income sleeve positions.
- Pause increases if emergency fund or coverage slips.

Year One Value Breakdown

Tax and Documentation Strategies

Item	Estimated Value
Accountable Plan	\$1,800 – \$3,000
Home office	\$1,000 – \$2,000
Startup and organizational costs	\$750 – \$1,250
Tangible property rules	\$500 – \$1,000
Vehicle and travel	\$600 – \$1,500
W-4 optimization	\$1,200 – \$3,600
HSA or FSA	\$1,000 – \$3,000
Tax-loss harvesting	\$600 – \$1,300
QBI on LLC profit (if applicable)	\$0 – \$2,000
Tax subtotal (Base)	\$7,450 – \$18,650

Business Cash Flow

Item	Estimated Value
Bitcoin gains, illustrative	\$1,500 – \$3,000
Income sleeve (STRF or STRC) if added	\$800 – \$2,500
Business subtotal	\$2,300 – \$5,500

Total Year One — Base	\$16,700 – \$31,900	Total Year One — Aggressive	\$65,800 – \$177,500+
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Maximizing Your Returns

- Follow strict documentation for reimbursements, home office, STR hours, and ready-for-guests proof.
- Sequence capital carefully and keep any SBLOC use conservative.
- Do a CPA projection before year end if you pursue the Aggressive path.

Key Success Factors

- Place in service by Dec 31 for STR Loophole eligibility.
- Maintain material participation with contemporaneous hour logs.
- Review portfolio and sleeve positions quarterly.

Action Plan

This Week

- Decide Base vs Aggressive and open business checking with books connected.
- Sign Accountable Plan and Expense Policy and start mileage and home-office documentation.
- Open River or Strike and begin BTC DCA. Book a 25-minute CPA session to size loss and any Roth conversion.

This Month

- Aggressive: engage agent, lender, and cost-seg firm; start hour logs; schedule photo day for ready-for-guests proof.
- Base: set up Hospitable and PriceLabs and build a cohosting pipeline for Q1.

Ongoing Monthly

- Submit reimbursement packet and keep logs current.
- Review cash buffer and DCA sizing.

Quarterly Reviews

- Run tax projection, confirm QBI eligibility if profitable, and reassess sleeve sizing.

December Tax Optimization Checklist

Two Weeks Before Year End

- Run a year-end tax projection and finalize loss targeting.
- Plan prepaids under the 12-month rule and confirm registration filings.

Final Week Actions

- Place the STR in service and ensure photo evidence and guest-ready status if on the Aggressive path.
- Process December Accountable Plan reimbursement and purchase any de-minimis items needed soon.
- Execute Roth conversion sized to the STR loss if pursuing that strategy.

Year End Documentation

- Archive hour logs, cost-seg report, depreciation elections, STR registrations, and occupancy-tax filings.
- Finalize home-office and mileage logs and retain monthly bank statements and receipt packs.

Compliance and Risk Management

Required Registrations

- LLC, EIN, and state accounts where required; STR registration and occupancy-tax accounts.

Audit Ready Documentation

- Accountable Plan, expense policy, hour logs, ready-for-guests photos, FMV comps for Augusta if used.

Ongoing Compliance

- Monthly reimbursement packets, clean bank separation, and retention of BTC and sleeve distribution statements.

Professional Team

Essential Partners

- CPA who understands STR and Roth coordination.
- Cost segregation firm for study and elections.
- Lender familiar with DSCR or investment loans.
- Real estate attorney for STR and lease items.
- Cleaner, handyman, locksmith, photographer.

When to Engage

- CPA and lender this month; cost seg at acquisition; attorney before signing; vendors before go-live.

Summary

The plan prioritizes clean documentation and decisive execution. Choose the path that fits cash and calendar, keep proof airtight, and let Bitcoin accumulation run in the background while you optimize taxes and set up the STR correctly if you pursue it.

Summary Highlights

- Base plan captures deductions and improves cash timing.
- Aggressive plan layers the STR loss and a possible Roth conversion.
- Income sleeve stays small and inside retirement for tax efficiency.

Note: investment returns are uncertain and ranges are illustrative for planning.

Prepared for Eric Valdivia Lozano · October 2025